

VARIANT A

Foundations of Finance (Quiz 2 – Monsoon 2025)

Time: 35 minutes

Max. Marks 10

Name	Roll Number
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Instructions to candidates:

- Write only the correct answer in the space provided in the question paper. The working sheet given to you is for your own calculations. Marks for each question are given alongside.
- Return both the question paper and the working sheet after the quiz. Only answers written in the appropriate places in the question paper will be evaluated.

1. Samsu operates a business. The balances of his account on January 1 of the current year were as follows:

Share Capital (Owner's equity)	62,000
Accounts payable	30,000
Plant and Equipment	32,000
Inventory	6,000
Cash	54,000

During the month of January, the following transactions took place

- a) Paid salaries of Rs.6,000
- b) Paid creditors Rs.20,000
- c) Purchased additional equipment on credit for Rs.31,000
- d) Received cash from customer Rs.36,000
- e) Paid courier expenses Rs.14,000
- f) Inventory at the end of month was Rs.2,750

Fill in the following figures for the end of month status:

(1x4= 4 marks)

Share Capital (Owner's equity)	
Accounts payable	
Plant and Equipment	
Cash	

2. From the following information about a company for a year calculate net cash flow from operations: (2 marks)

- Cash paid for factory Rs.30,000
- Cash paid for salaries Rs.60,000
- Cash paid to suppliers Rs.40,000
- Cash paid for interest to bondholders Rs.20,000
- Cash collected from customers Rs.150,000
- Cash collected for sale of equipment Rs.75,000
- Depreciation expense Rs.10,000

Cash flow from Operating Activities _____

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3. The following lays out the series of events for the company during September 2025.

September 1, 2025 was an eventful day.

Jerry Rao and his friends arranged Rs.10 lakhs from their families and incorporated a company with an authorised capital of Rs.10 lakhs. They deposited this money in the bank. Jerry will be the CEO and receive a monthly salary of Rs.40,000.

The Company needed an office space, so the company entered into a one-year rent agreement for a monthly rental of Rs.20,000 and a security deposit of Rs.60,000. The security deposit was to be refunded at the end of the year and the rent for a month will be paid at the beginning of the following month.

The same day the company bought office stationery for Rs.6,000 and calculators for Rs.1,000. It also hired an employee at a monthly salary of Rs.10,000. The company paid all salaries at the end of the month. The company also bought computer hardware and software for Rs.468,000. It paid half of Rs.468,000 immediately and will pay the balance in the next month. These items are expected to be used for three years and will be of no value after that.

Somewhere in the middle of the month the company provided services to an individual and received a fee of Rs.13,000. It also earned a commission of Rs.2,000 which it will receive next month. It also received an advance fee of Rs.4,000 from a customer for services to be provided next month. It provided service for a fee of Rs.5,000 to a customer who agreed to pay the fee next month.

During the month the company also paid for electricity Rs.3,000, internet and telephone Rs.5,000, water Rs.2,000 annual magazine subscription Rs.6,000 (magazines will be received monthly starting October to next September). At the end of September, the company had office supplies worth Rs.5,600 remaining.

Some of the initial investors were feeling jittery as the cash balance had fallen sharply to _____ and that there was substantial difference between accounts payable which were _____ and accounts receivable which were _____. The good news was that the company had received a lot of enquiries for its business.

What was the cash balance at the end of the month?	
What was the accounts payable balance?	
What was the accounts receivable balance?	

(2,1,1)